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ECONOMIC SURVEYS

ITALY

I. 2. b. 4.

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT
PARIS MARCH 1965

BASIC STATISTICS OF ITALY

THE LAND

Area (1,000 sq.km.)	301.2
Agricultural area (1,000 sq.km.)	219.4
Woodland (1,000 sq.km.)	58.3

Major cities (1961 census) :

	(thousands)
— Rome	2,245
— Milan	1,598
— Naples	1,196
— Turin	1,050

THE PEOPLE

Population end 1964 (thousands)	52,447
No. of inhabitants per sq.km.	173
Net natural increase in population :	
Annual average 1959-1964 (thousands)	474
Net rate per 1,000 inh. (1959-1964)	9

	(thousands)
Labour force (1964)	20,130
Employment (1964)	19,580
— in agriculture	4,967
— in industry	7,996
— Others	6,224
Net emigration (average 1960-1963)	168

PRODUCTION

Gross National Product in 1963 (billions of lire)	28,186
GNP per head in 1963 (U.S. $)	875

Domestic product in 1963 (at current prices) :	
— Agriculture	15 %
— Mining, quarrying and manufacturing	36 %
— Construction	8 %
— Services	41 %

THE GOVERNMENT

Public consumption in 1963 (percentage of the GNP	16
Current public revenue in 1963 (percentage of the GNP)	34

Internal public debt (ratio to Central Government current revenue) (1963)	115 %
Government investment in 1963 (percentage of total investment)	14 %

LIVING STANDARDS

Calories per head, per day (1962-1963)	2,750
Meat consumption, kg. per year, per head (1963)	31.4
Gross average hourly wage of industrial workers in 1963 (lire)	344

No. of cars per 1,000 inhabitants (1963)	75
No. of radio sets per 1,000 inhabitants (1963)	185
No. of T.V. sets per 1,000 inhabitants (1963)	86

FOREIGN TRADE

Exports :	
Exports of goods and services as a percentage of the GNP (aver. 1961-1963).	12
Main exports (aver. 1963-1964; percentage of total exports) :	
— Machinery	23
— Fabrics and textile goods	15
— Motor vehicles	7
— Foodstuffs	13
— Chemical products	14

Imports :	
Imports of goods and services as a percentage of the GNP (aver. 1961-1963).	16
Main imports (aver. 1963-1964: percentage of total imports):	
— Metals, ores and scrap	13
— Crude oil	10
— Foodstuffs	21
— Machinery	20
— Chemical products	8

THE CURRENCY

Monetary unit: Lira.

Currency units per U.S. dollar 625

ECONOMIC SURVEYS BY THE OECD

ITALY

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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INTRODUCTION

The anti-inflationary measures taken in the second half of 1963 and early 1964 were followed by an impressive reversal of the balance of payments deficit and a slowing down of price and wage increases. Since consumers' demand weakened and the rate of investment fell significantly, industrial production and employment declined despite the strong rise of exports. General economic policy was then shifted, in the space of a few months, from restraint to moderate reflation, and is currently aimed at encouraging a revival of investment.

The present survey describes, in Part I, the effects of the measures applied to curb the inflationary pressures and the ensuing deflationary trends of last year. Part II examines new expansionary policies and the prospects for 1965. Part III sets out some of the more important conclusions that can be drawn from Italy's recent experience.

I. THE 1963-64 RECESSION AND ITS CAUSES

The year 1964 saw a sharp reversal of economic trends — from boom conditions to clearly deficient demand and a falling rate of output, the first signs of which had appeared in the autumn of 1963. Though the decline in production generally stopped towards the end of the year, there are few signs as yet that a recovery is under way. The statistical record of this period is not yet complete[1]. But the broad picture emerging from the evidence available so far is that the policies of restraint were followed by drastic changes in production, demand and the balance of payments not so much because the policies themselves were so sharp, but because they were applied or produced their effects when important market forces were already working in the same direction.

a) *The upper turning point*

The symptoms of inflation culminated in 1963 and the first quarter of 1964. It may be recalled briefly that the balance of payments deficit for

1. In particular, the official economic report for 1964 (« Relazione Generale ») is not yet available.

TABLE 1. SUPPLY AND USE OF RESOURCES

	1963 AT CURRENT PRICES		PERCENTAGE VOLUME INCREASES			
	BILLION LIRE	% SHARE	1959-61 AVERAGE	1962	1963	1964
Private consumption	17,543	62.2	6.4	7.4	9.6	
Public consumption	4,452	15.8	5.0	4.3	5.6	
Gross investment	6,772	24.0	12.4	8.7	5.7	
Foreign balance on goods and services	− 581	− 2.0	[1.9][1]	[− 0.0][1]	[− 2.0][1]	[+ 1.5][1]
GNP at market prices	28,186	100	7.5	6.3	4.8	2.6
GDP at factor cost[2]	24,491	100	7.0	6.4	4.9	[2.5]
of which:						
Agriculture	3,797	15.2	2.0	0.7	− 1.5	3.8
Industry	10,948	43.9	10.8	9.2	7.8	1.5
Services	10,200	40.9	5.7	5.0	5.1	3.0

1. As percentage of GNP at current prices.
2. Net of duplications.

Sources: Italian submissions to the OECD, and for 1964, ISCO and Secretariat estimates.

the twelve months ending in March 1964 was $ 1.4 billion; that in 1963 wage rates increased by 16 per cent, the total income of dependent labour by 22 per cent, the general price level (national product price deflator) by 8.5 per cent and the volume of private consumption by 9.6 per cent. The growth of GNP, however, was only 4.8 per cent[1]. But the underlying forces of expansion had already exhausted much of their impetus in the second half of 1963 and the upper turning point can be approximately located in September-October of that year.

The slow-down was foreshadowed in late 1962 by business surveys of orders in the investment goods industries. The corresponding production index, as well as net imports of investment goods (both seasonally adjusted), continued to rise till the autumn of 1963, when both started falling. But the majority of component production series had already begun to show declines a few months earlier. Similar developments took place, with some time-lags, in the trend of production and imports of consumers' goods (excluding imports of food products).

1. For a description of economic trends and policies up to the spring of 1964, see the OECD Survey on Italy published last year.

b) *The anti-inflationary measures*

These developments could not, of course, all be clearly observed at once. What was clear was the fact that prices, wages and the overall external deficit continued to rise strongly until the early months of 1964. And accordingly, progressively more restrictive policies were applied over a period of about twelve months starting from the end of the summer of 1963. A very important role was played by credit and monetary measures, including instructions to commercial banks to reduce their swelling borrowing abroad (see pages 15-16 below). In addition, fiscal measures were taken early in 1964, affecting in particular the automobile sector. The various measures were described in last year's survey of the Italian economy by the OECD.

The Italian authorities took the disinflationary measures in circumstances which made the risks of doing too little very serious. Because of the continuing pressures on costs and prices, expectations of a rapid deterioration of the currency's purchasing power were spreading. Moreover, exaggerated foreign interpretations of the economic situation lent support to speculation against the lira. Speculation became particularly heavy during the first quarter of 1964, when the basic balance of payments had actually begun to improve; it stopped only after substantial international support for the lira had been announced in March. The interventions of the authorities were not as extreme as it was sometimes believed. For instance, during the winter of 1963-1964, the effect on bank liquidity of the fall in foreign exchange reserves was somewhat offset by Central Bank advances; and attempts were made to encourage industrial investment - e.g. through investment allowances. But the combination of the restrictive policy measures and of the more autonomous trends described above produced considerable deflationary effects in 1964.

c) *The fall in output and employment*

Even the comparatively modest growth of GNP in 1964 was largely due to the rise of agricultural output, after a succession of poor harvests (Table 1). The annual product of industry was approximately the same as in 1963 - a virtual stagnation without precedent since the beginning of the 'fifties. The annual averages conceal a clear reversal of trends (cf. Diagram 1 and Table 2). The seasonally adjusted index of industrial production, which had flattened since the autumn of 1963, fell appreciably in the middle six months of 1964. Despite a certain recovery from the lowest point of the third quarter, it was still in the fourth quarter about 3 per cent lower than in the same period of 1963. The sharpest declines took place in the investment goods industries; the corresponding index for October-December 1964 was 9 per cent down on a year earlier. Iron and steel production picked up considerably in the fourth quarter, when new plants came into

Diagram 1. SELECTED ECONOMIC INDICATORS

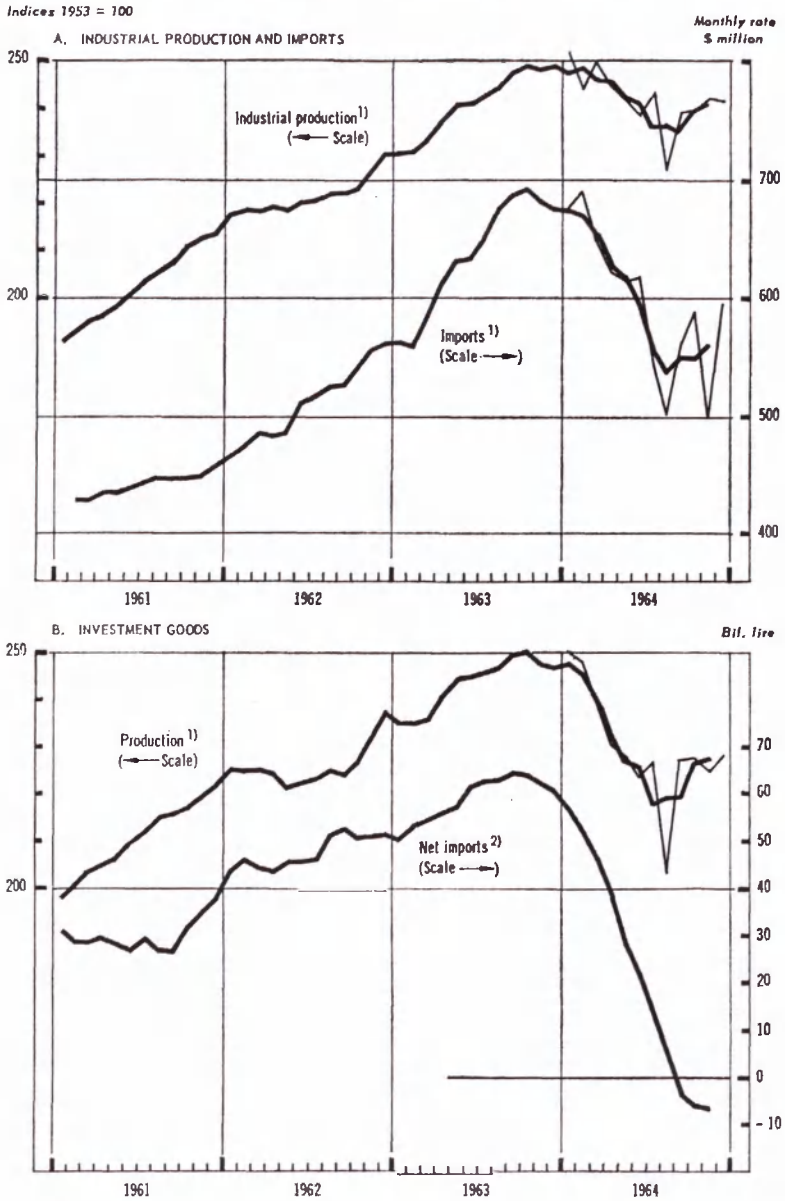
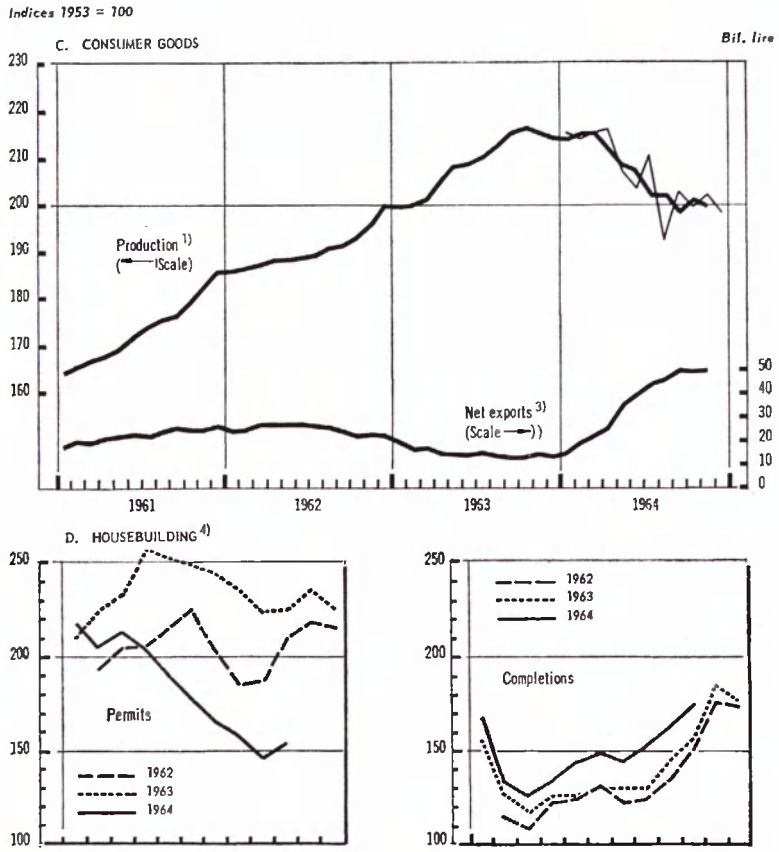


Diagram 1. **SELECTED ECONOMIC INDICATORS** (Cont'd)



1. Seasonally adjusted; three-months moving average. The montly data are also shown for 1964.
2. Seasonally adjusted monthly figures.
3. Excluding food and agricultural products; seasonally adjusted monthly figures.
4. Number of rooms; three months moving average of unadjusted figures.

Sources: ISTAT, ISCO and OECD General Statistics.

TABLE 2. **INDUSTRIAL PRODUCTION INDICES**

Percentage increases.

	ANNUAL				OVER PREVIOUS QUARTER[1]							
					1963				1964			
	1961	1962	1963	1964	I	II	III	IV	I	II	III	IV
Investment goods	12.0	7.4	7.8	− 5.7	1.0	4.1	0.8	0.4	− 0.8	− 7.8	− 3.7	3.5
Consumption goods	7.0	9.5	9.7	− 1.1	1.5	4.5	2.2	1.3	− 0.1	− 2.8	− 2.9	− 1.0
Intermediate goods	15.4	12.3	8.8	9.9	1.9	3.5	2.7	2.5	1.8	3.4	0.3	3.7
GENERAL INDEX	10.9	9.6	8.8	0.4	1.5	4.0	1.9	1.3	0.4	− 2.9	− 2.9	1.8
Selected branches:												
Food	3.9	6.1	12.2	− 2.9	− 2.7	6.7	2.3	− 1.4	− 4.6	− 0.8	1.9	− 2.9
Textiles	− 0.4	7.1	3.1	− 5.1	0.7	0.6	− 0.6	− 0.4	0.9	− 7.0	− 1.6	− 1.1
Machinery	14.4	4.7	7.4	− 9.8	2.3	1.1	1.1	0.0	− 0.6	− 11.0	− 4.9	1.6
Automobiles	16.4	26.5	25.9	− 7.0	2.8	7.6	5.2	3.1	− 4.0	− 5.9	− 13.0	

1. Seasonally adjusted indices.
Source: ISCO.

operation and total orders increased; the latter was partly due to export orders, but may also foreshadow a certain revival in the automobile industry. Other investment goods industries, however, continued to be depressed. The consumer goods sector has also shown appreciable decreases in the course of last year, without — so far — any signs of a recovery. The production index for intermediate goods (mainly electricity, chemicals and petroleum products) continued to rise strongly until March 1964, remained thereafter approximately stable at a high level, but increased significantly in the last quarter of the year.

The nature of construction statistics makes it impossible to quantify recent changes in trend. Dwellings completed in the main towns during the first eleven months of 1964 were 11 per cent higher than a year earlier (number of rooms) and the increase for non-residential buildings (in cubic meters) was very considerable. Such figures may illustrate roughly the rates of increase in building activity during periods of more or less steady expansion, but can only reflect a reversal of trend after a long time-lag. It is possible that construction activity may have increased somewhat in 1964 as a whole, and the acceleration of public works since last summer must have helped in this direction. But indirect evidence points to a substantial weakening in the course of the year. Prices of building materials have dropped continuously since February 1964. Both short-time working and unemployment became particularly widespread in this sector and a special decision to extend the period of unemployment benefits for construction workers had to be taken recently. The drastic fall of new plans for construction (see Diagram 1) is probably the result of several factors: the strong price increases, the slowing down of the rise in incomes, the credit restrictions and the uncertainties for the future arising from new legislation on urban development.

The drop in output and demand had important effects on employment, even though the increase in open unemployment was comparatively limited. The complexity of the underlying situation[1] and the (not wholly unrelated) inadequacy of the statistics allow only an approximate description of employment trends. As indicated by Table 3 the movement away from agriculture continued last year. At the same time, the number of those employed in industry (especially the number of dependent workers) decreased. The result was both a certain increase in unemployment and a reduction of the labour force[2], largely through the withdrawal of women from the labour market. The effects would have been much larger but for the remarkable

1. It may be recalled that massive inter-sectoral and regional transfers of manpower have characterised the Italian economy for several years. These flows affect not only the pattern of employment, but also the size of the labour force and the degree of integration of its various parts in the labour market. Their intensity -even their direction - is likely to vary with any important change in the economic situation.

2. Both real and statistical factors are involved in this - e.g. the exclusion from the labour force of certain age groups after the raising of the school leaving age.

Table 3. EMPLOYMENT
Quarterly sample surveys[1]

In thousands.

	Changes between October 1963 and October 1964			Situation in October 1964
	Wage and salary earners	Self-employed[2]	Total	
1. Employment:				
a) Agriculture	− 212	− 200	− 412	5,012
b) Industry	− 239	+ 58	− 183	7,909
c) Services	+ 156	+ 144	+ 300	6,580
Total[3]	− 295	−	− 295	19,501
2. Unemployment			+ 133	531
3. Labour force			− 162	20,032

1. The figures are estimates of national aggregates extrapolated from the sample surveys.
2. Including family workers.
3. For partly employed, see Statistical Annex.

Source: ISTAT and ISCO.

increase of employment in services and in artisan-type activities. The reflux of labour into low-productivity, low-wage occupations has helped to spread the burden of adjustment; it also means that labour reserves at present are more important than unemployment statistics would indicate.

The fall of employment in industry is confirmed by the statistics of the Ministry of Labour, which cover firms accounting for roughly one-third of industrial employment; for May-September 1964 they show a decline of about 1.5 per cent compared to the same months of 1963. They also show a drop of hours worked per month by about 5 per cent between the first nine months of 1963 and 1964; the drop was 20 per cent in August, when a large number of firms tried to adjust production to sales by means of prolonged closing down of plants; the same phenomenon occured over Christmas in some sectors of industry. Payments from the Wages Equalisation Fund for short-time working (less than 32 hours a week) were 13 billion lire, compared to only 3 billion in 1963. Among other reasons, the desire of firms to keep trained workers on their payroll, with an eye to the end of the period of slack demand must have played a certain role. In this respect also, potential labour reserves are certainly more important than would appear from unemployment statistics, and the scope for productivity increases with a revival of demand must be much larger than normal.

d) *Demand factors*

It appears clear that the first and major cause of the change in the trend of global demand was the fact that private productive investment demand

reached its peak in the middle of 1963 and declined afterwards. An essential reason for the turn-round in private investment was the squeeze on profits; its effects were reinforced by factors not directly connected with the course of final demand or costs, which led to a general deterioration of business expectations, to massive capital flight abroad and to a depressed capital market. Profits in industry had been generally high and rising for several years. But since about the end of 1961 (when unemployment, previously substantial, had been practically absorbed in the industrial regions) wages had been rising sharply — by some 35 per cent between then and the end of 1963. Over the same period, wholesale prices of non-agricultural products rose by about 10 per cent. The increasing integration of the Italian economy with foreign markets prevented industry from passing on to prices a greater share of the increase in wages, because competing imports expanded rapidly. The gains in productivity only offset part of the rise in wages; and industrial profits must have fallen considerably. This meant both lower possibilities of self-finance at a time when external sources of finance were shrinking, and a decrease in the attractiveness of new investment plans — at a time of general uncertainty about future business conditions. The rate of investment, accordingly, had already ceased to grow when the first effects of the credit restrictions began to be felt; the number of new investment projects started seem to have fallen much earlier.

The deceleration and subsequent fall of productive investment inevitably served to dampen consumption demand through its effects on employment. But other, semi-independent factors were at work since the second half of 1963, when the rise in the volume of consumption flattened out (Diagram 1). One such factor was the rise of prices which limited the growth of real income. This was particularly marked for meat, fruit and services, which represented an increasing proportion of private consumption; but it was also very substantial in the case of dwellings; and this must have reduced the growth of disposable income for other purchases and finally undermined the strong building boom. Certain types of consumers' expenditure had been rising particularly fast, as large new groups were entering the high-wage sectors and adopting modern patterns of consumption; as soon as the rate of such transfers of manpower diminished some flattening-out was likely. For instance, registrations of private cars — seasonally adjusted — had stopped growing by the summer of 1963, when they had reached more than double the rate of two years earlier.

In the absence of appropriate statistics (e.g. quarterly national accounts) the trend of investment can only be assessed roughly through indirect evidence; and all the evidence available points to a substantial fall of productive investment in the course of 1964. According to preliminary estimates, the decrease on an annual basis was 15 per cent for investment in equipment. Investment in construction may have increased last year compared with 1963, but probably started to fall sometime in 1964 (see page 11 above).

Consumers' demand almost certainly stopped rising last year and may recently have decreased in real terms, if not at current prices. Despite continuing increases in wage rates, the total wage bill must have been declining since last summer at the latest, owing to short-time working and to some shifts of manpower to low-wage sectors; at the same time, consumer prices continued to rise appreciably. The interaction of these trends has produced an important deflationary movement.

These developments have probably been amplified by changes in stocks and work-in-progress. The fragmentary information available does not permit any reliable judgement on the importance of this factor. It would seem that stocks of raw materials and work-in-progress were probably reduced after the decline in final demand; the credit restrictions and the disappearance of the previous speculative motives for stock-building must have worked in the same direction. On the other hand, inventories of finished products have, in general, increased last year. The three series prepared by " Assolombarda " on producers' stocks of finished products show that the ratio of stocks to production exceeded the base-year (1953) relation since mid-1963 in the iron and steel industry (where it started falling one year later); but in textiles and chemicals this phenomenon started only in the summer of 1964. The proportion of firms reporting high stocks of finished goods in business surveys became rather high in the course of 1964 (Diagram 2) and was still 39 per cent in December. Furthermore, volume indices of imports — classified by " economic groups " — show declines in 1964 which are parallel or even more marked for final investment and consumption goods than for raw materials and semi-finished products. For traders' inventories there are no statistics.

Several factors have helped to limit the downward trend and may indeed have arrested it in recent months. The most important was the strong rise of exports. On the basis of preliminary figures, it seems that the export surplus on account of goods and services may have been as much as 3 per cent of the national product in the second half of 1964 (when seasonal factors are also favourable). It was just over 1 per cent in 1958 — a year of mild recession and a sizeable external surplus. The role of the budget as an automatic stabiliser in a recession does not seem to have been very important so far. Budget receipts on a cash basis were still in July-November 1964 7.5 per cent higher than in the corresponding period of 1963, when the comparable increase was 10.2 per cent; but the increase of expenditure was 13.8 per cent compared to 12.4 per cent in the previous period. Tax revenue ascertained in 1964 was 13.3 per cent higher than in 1963, whereas the annual increase in the national product at current prices was 8.6 per cent according to preliminary estimates. Favourable harvests, however, have raised farm incomes; and investment in agriculture, helped by State-sponsored grants and credits, seems to have increased in 1964. The policy measures which probably helped to put a floor under the recession are described in pages 21-22 below.

e) *Money and credit*

Changes in the orientation of monetary and credit policy over the last two years had an important influence on the general trends of the economy. From late 1962, when the balance of payments turned into deficit, up to August 1963 — the authorities continued to promote the expansion of liquidity in order to avoid sudden interruptions in the production process. The commercial banks were allowed, in October 1962, to increase their borrowing abroad; the increase was so substantial ($ 1.2 billion until August 1963) that it exceeded the sizeable deficit of the balance of payments and led to an increase of official reserves by about $ 300 million. Moreover, the decision not to renew Treasury bonds maturing in early 1963 and the operations of the Central Bank with the banking system contributed to a rapid expansion of money supply and of bank credit.

Faced with a substantial balance of payments deficit and with continuing rapid increases in costs and prices, the authorities reversed their policy in the summer of 1963. At the beginning of September, the commercial banks were requested not to increase further, and if possible to reduce, their foreign net borrowing; and as the amounts out-standing started decreasing rather fast, successively lower ceilings were fixed by the authorities in December 1963 and in June 1964. During certain periods of speculative waves, the forward discount on the lira became substantial (e.g. 5 per cent in October 1963 and 7.5 per cent in March 1964) so that the cost of borrowing abroad with covered exchange risks became prohibitive. Nevertheless, the instructions of the monetary authorities were the principal reason for the reduction in the banks' foreign indebtedness by some $ 300 million in the seven months to March 1964. In the same period, the balance of payments deficit exceeded $ 900 million. The combined effect of these two factors was a sharp reduction of official reserves. But, even though the authorities were pursuing a generally restrictive credit policy, they did not let the economy feel the full impact of the fall in reserves, since such a development would have had very grave consequences for the level of economic activity. Through operations with the banks (including an unusual amount of re-discount of commercial bills) the Central Bank injected into the banking system over 400 billion lire during this period. By such means, abrupt effects of the restrictive credit policy were avoided. Nevertheless, the effects were substantial in terms of a marked deceleration in the growth of money supply and of total deposits in the course of 1964 and of a virtual cessation of the increase of commercial bank credit.

But even after the balance of payments turned into sizeable surplus and official policy was eased in the summer of 1964, bank credit failed to respond. Demand for credit from the private sector seems weak, reflecting the reduced level of activity and the poor outlook for profits. Some types of credit have continued to rise rather fast (medium- and long-term advances, both by commercial banks and by special institutions, and bank credit to public

TABLE 4. BANK LIQUIDITY

Changes, billion lire.

	1963	1964	APRIL-DECEMBER	
			1963	1964
FACTORS:				
Foreign sector[1]	− 778	476	− 610	749
Treasury[2]	616	475	353	469
Other sectors	80	139	31	92
Total	− 82	1,090	− 226	1,310
Minus: Currency in the hands of public[3]	323	251	441	471
Obligatory and other reserves	409	300	125	214
Total	− 814	539	− 792	625
Foreign indebtedness of commercial banks	406	− 263	310	− 140
Financing of commercial banks by Bank of Italy[4]:				
a) Distributed credit	431	− 213	498	− 357
b) Potential credit margin	− 35	129	− 77	253
BANK LIQUIDITY	− 12	192	− 61	381

1. Surplus (deficit) of balance of payments.
2. Direct financing of the State Treasury by Bank of Italy and Foreign Exchange Office and direct liquidity creation of the Treasury (State money).
3. Also including Treasury bills in the hands of the public.
4. Consolidation of Bank of Italy and Foreign Exchange Office.

Source: Bank of Italy.

bodies). But total outstanding bank credit to the private sector in November was 2 per cent lower than in January and only 1 per cent above November 1963, when the corresponding annual increase had been 24 per cent. Table 4 shows how, in these circumstances, the banks used the increased liquidity arising from the balance of payments surplus and from the public sector's operations to reduce their indebtedness to both foreign banks and the Central Bank. Still, the ratio of their liquid assets to deposits (which had deteriorated considerably in the winter 1963-1964) improved continuously up to November last.

f) *Prices and wages*

Economic policy has had to take account of the fact that, although price and wage rises slowed down during the period of weak demand, they remained appreciable. Wholesale prices were nearly stable during 1964, but this was largely because of better agricultural conditions. Non-agricultural prices have been edging upwards in recent months, partly owing to increases for certain imported materials, but preliminary data for January,

as well as indications from business surveys, suggest a relative stability. Consumers' prices, on the other hand, have continued rising quite fast. The rise of the sub-index for food was mostly due to increases for meat and dairy products. Demand for these goods remained rather high and domestic supply generally insufficient, while imports did not often achieve a stabilisation of prices; moreover, certain measures of price support have been taken in order to alleviate cost increases in agriculture or to apply European Economic Community policies. In the case of services, cerrain increases resulted from official decisions (e.g. to raise transport fares and telephone charges). But the most important indicator is the sub-index for non-food products, which — after a long stability — started rising strongly after the end of 1961, obviously influenced by the increase in labour costs, and continued to do so through 1964.

TABLE 5. **PRICES**

Percentage increases.

	WEIGHTS	ANNUAL INCREASES				DEC. 1962 TO DEC. 1963	DEC. 1963 TO DEC. 1964
		1953-61 AVERAGE	1962	1963	1964		
WHOLESALE PRICES:							
Agricultural products	21.1	0.5	8.7	6.2	– 0.1	3.7	0.7
Non-agricultural products ..	78.9	– 0.3	1.5	4.8	4.3	5.9	2.1
General index	100.0	– 0.1	3.0	5.1	3.4	5.5	1.8
CONSUMER PRICES:							
Food products	52.2	1.6	4.3	8.2	5.1	6.8	5.6
Non-food products	27.0	0.4	5.1	6.0	5.6	5.7	4.9
Services	20.8	4.9	4.9	7.2	7.7	8.3	7.1
General index	100.0	2.2	4.6	7.4	5.9	6.9	5.8
COST OF LIVING		2.8	5.8	8.7	6.5	..	6.2

Source: ISTAT.

The rise of contractual wage rates in 1964 resulting from the sliding-scale arrangements was approximately the same as the year before[1]. The renewal of collective agreements caused sharp increases in the early months of 1964 but less pronounced ones thereafter. As shown in Table 6, minimum

1. Under this system, each percentage point of increase in the cost-of-living index gives rise to an increase of wages by fixed amounts of lire for each category of workers. Given the other factors of wage rises (renewal of collective agreements, etc.) the proportional increase of wages corresponding to a given increase in the cost-of-living becomes gradually smaller with successive adjustments.

TABLE 6. WAGE INDICES[1]

	ANNUAL PERCENTAGE INCREASES			PERCENTAGE INCREASES OVER 3 MONTHS AGO							
				1963				1964			
	DECEMBER 1961 TO DECEMBER 1962	DECEMBER 1962 TO DECEMBER 1963	DECEMBER 1963 TO DECEMBER 1964	FEBRUARY	MAY	AUGUST	NOVEMBER	FEBRUARY	MAY	AUGUST	NOVEMBER
MINIMUM WAGE RATES:											
Manufacturing	7.5	11.3	12.3	6.1	2.3	1.2	1.4	2.7	3.8	1.9	3.3
Construction	10.7	15.5	22.0	1.8	2.3	1.0	9.4	11.5	4.4	2.1	2.5
Total Industry	8.2	12.7	14.6	4.6	2.7	1.2	3.7	4.9	3.7	2.0	3.1
HOURLY EARNINGS:											
Manufacturing	15.7	16.1	10.1	3.9	6.4	2.5	0.5	3.9	1.9	2.3[3]	

1. For married persons.
2. July 1963 to July 1964.
3. July over April.

Sources: ISTAT and Ministry of Labour.

wage rates continued to rise appreciably till the end of the year under the joint influence of these factors. The effect of the changed situation in the labour market can be seen in the statistics of hourly earnings established by the Ministry of Labour for a large section of industry: wage drift has slowed down since late 1963, in clear contrast to previous developments — probably because of the reduction of overtime payments and of special bonuses above negotiated rates. But the still appreciable increase of wage rates, at least in the advanced sectors of the economy, combined with a probable fall in apparent productivity due to under-utilisation of capacity, must have continued to raise industrial costs and to reduce profit margins.

g) *Balance of payments*

After showing a deficit of $ 1,250 million in 1963 and $ 436 million in the first quarter of 1964, the overall balance of payments improved radically, yielding a surplus of about $ 1.2 billion for the rest of the year. The most important change was the reduction of the large trade deficit; for the second half of 1964, there was even a trade surplus on an f.o.b. basis — a rare occurrence for the Italian economy. Imports, seasonally adjusted, had stopped rising by the autumn of 1963 and decreased sharply in the course of 1964 — by more than 15 per cent between the first and third quarters. In the fourth quarter they increased slightly but still remained very low (about the same in current value as at the end of 1962) without any clear signs, as yet, of a significant recovery. Contrary to what happened during the 1958 recession, the drop of imports last year was greater in volume than in value, as average unit values rose by some 5 per cent. As shown in Diagram 1 and in the Statistical Annex, practically all categories of imports declined during last year. There was a reversal of some special factors which had previously aggravated the import bill, but the major reason was the weakening of internal demand.

Exports had continued to expand even during the period of high demand pressure. Their growth became vigorous in the course of 1964 (+ 14 per cent between the first and the third quarters, seasonally adjusted) but slowed down appreciably in the fourth quarter. Export unit values rose by only about 2 per cent, so that the terms of trade deteriorated. The principal cause of the strong rise of exports was the simultaneous cooling-off of domestic demand and the strong expansion in some of Italy's major foreign markets. Thus, the rate of increase of Italian exports was much higher than the average increase for OECD Member countries, in a period during which costs rose more rapidly in Italy than in other Member countries. (This question is discussed in pages 33-34 below.)

The current account surplus of the balance of payments exceeded $ 1.1 billion for the period April to December and was $ 660 million for 1964 as a whole, as against an equally large deficit in 1963. The capital

TABLE 7. BALANCE OF PAYMENTS

Million dollars.

	1963	1964[1]	1963				1964[1]			
			I	II	III	IV	I	II	III	IV
1. Trade deficit (imports f.o.b.)	− 1,808	− 580	− 358	− 474	− 468	− 508	− 552	− 263	+ 179	+ 56
2. Services	+ 862	+ 940	+ 103	+ 185	+ 436	+ 138	+ 53	+ 215	+ 439	+ 233
3. Goods and services	− 946	+ 360	− 255	− 289	− 32	− 370	− 499	− 48	+ 618	+ 289
4. Unilateral transfers	+ 289	+ 300	+ 62	+ 71	+ 56	+ 100	+ 58	+ 69	+ 84	+ 89
5. CURRENT BALANCE	− 657	+ 660	− 194	− 218	+ 24	− 269	− 441	+ 21	+ 702	+ 378
6. Capital movements plus errors and omissions.	− 595	+ 120	− 74	− 193	− 137	− 191	+ 5	+ 206	− 200	+ 109
(5 + 6) OVERALL BALANCE	− 1,252	+ 780	− 268	− 411	− 113	− 460	− 436	+ 227	+ 502	+ 487
7. MONETARY MOVEMENTS:										
a) Official reserves (increase = −)	+ 434	− 388	+ 165	+ 8	− 115	+ 376	+ 233	− 39	− 253	− 329
b) Other official[2]	+ 168	+ 50	− 51	+ 20	+ 25	+ 174	+ 400	− 41	− 144	− 165
c) Commercial banks	+ 650	− 442	+ 154	+ 383	+ 203	− 90	− 197	− 147	− 105	+ 7
Total	+ 1,252	− 780	+ 268	+ 411	+ 113	+ 460	+ 436	− 227	− 502	− 487

1. Provisional estimates.
2. Including net IMF position.

Source: Italian submission to the OECD and Bank of Italy.

account[1] also showed a surplus of $ 120 million last year compared to a deficit of nearly $ 600 million in 1963[2]. The capital flight abroad, which had started in late 1961 and grew substantially in 1963, first diminished last year and then gave way to a certain return movement; the capital surplus of 1964 was largely due to a few large foreign investments in Italy. Official reserves rose by over $ 700 million from their lowest point in February to the end of the year when they amounted to $ 3,446 million. For the rest, the balance of payments surplus was used for other official operations (including payments to the IMF) and for a substantial reduction of the commercial banks' foreign indebtedness to approximately $ 830 million (net position in foreign exchange and in lire), a level considered as normal by the Italian authorities.

II. PROSPECTS AND POLICIES FOR RE-EXPANSION

a) *Recent shifts in policy*

When the improvement of the balance of payments and the declining tendency of production and employment became clear, policy began progressively to be eased — especially from September 1964. There was first a shift in credit policy. From the summer of 1964, the monetary authorities did not seek to prevent bank liquidity rising as a result of the balance of payments surplus. The general easing of credit policy, and its particular emphasis on the finance of investment assumed a number of forms: the establishment of a special fund of 100 billion lire for the finance of small and medium manufacturing firms; authorisations by the Ministerial Credit Committee for substantial capital issues; the indirect finance by the Central Bank[3] of investment by State-owned enterprises, thus reducing their potential calls on the capital market.

Second, a number of decisions had been taken by January 1965 to increase investment by the public sector. Traditional public works, previously slowed down, were accelerated, and supplementary credits have recently been approved in order to adjust old estimates to the sharp rise in construction costs. In view of the serious situation in the construction industry, it was decided to speed up the implementation of State-support-

1. Including short-term capital and errors and omissions.
2. These figures are provisional estimates on a transactions basis. The data on a cash basis (« movimento valutario ») are somewhat different, mainly because of the leads and lags in payments for imports and receipts from exports, but they show approximately the same reversal between 1963 and 1964, both on current and on capital account.
3. An amendment to the rules governing the reserves of savings banks allows them to absorb some 200 billion lire of State-guaranteed bonds, issued by State-owned enterprises, in replacement of Government securities; the latter are being taken over by the Central Bank.

ed housebuilding plans, school construction, etc.; the rate of activity represented by such plans corresponds roughly to 10-15 per cent of the normal rate of total construction. Moreover, additions to the investment programmes of State-owned enterprises have brought up the 1965 estimate to 820 billion lire — compared with 700 billion[1] in 1963 and 650 billion in 1964.

To alleviate the pressure on industry's costs, employers' contributions to social insurance funds (and to a smaller extent employees' contributions) have been reduced. The corresponding needs of the funds have been taken over by the budget at an annual cost of some 200 billion lire. This measure is valid only till the end of 1965, but is in line with certain proposals for longer-term reform. Roughly offsetting amounts of additional revenue were sought through tax increases, the more important being the recent increase in the general turnover tax; this, however, will inevitably have an incidence on industrial costs. The only significant measure directly favouring consumption has been the abolition, in November, of the special tax on automobiles introduced early in 1964[2].

The general orientation of the draft budget for 1965 (prepared last September) was to limit the increase in total expenditure to about 5 per cent[3] and to restrain the budget deficit — in line with the guiding principles established by the CEE Ministerial meeting of April 1964 — but to increase investment allocations considerably in view of the falling trend of investment. Parliamentary procedure on the budget has not yet been completed. Comparisons with previous budgets are extremely difficult, because of extensive changes in classification and the change-over to a calendar year basis (hence the interpolation of a budget for July-December 1964). Compared with the forecasts for 1964-65[4], the budget for 1965 shows an increase of revenue by 7.6 per cent and an increase of total expenditure by 7.2 per cent, with investment expenditure rising by 16.3 per cent. The estimates of tax revenue for this year, compared to actual tax accruals in 1964 (5,817 billion lire) imply an increase of 7.2 per cent. On the other hand, the estimates do not take full account of recent tax increases. Thus, there is a possibility that tax receipts will represent this year an increased proportion of national income, unless revenue were to fall considerably short of the estimates.

1. Excluding investments by the National Electricity Authority (ENEL).
2. The hire-purchase controls on consumers' durables approved at that time came legally into force only in September. Certain types of goods have since been withdrawn from the list. The real effect of these controls on automobile sales is not clear, given the changed general conditions of the market.
3. This is the increase (over the 1964-65 estimates of « effective » expenditure) according to the old classification. Table 8 conforms to the new classification.
4. These were replaced by the July-December budget, which was prepared on essentially the same basis but took account also of seasonal factors.

TABLE 8*a*. **ADMINISTRATIVE BUDGET « DI COMPETENZA »**[1]

Billion lire.

	ACTUAL			FORECASTS			
	1961-62	1962-63	1963-64	1963-64	1964-65	JULY-DEC. 1964	1965
1. Revenue	4,603	5,285		5,291	6,129	2,972	6,595
2. Expenditure	4,987	5,823		5,793	6,551	3,188	7,026
of which:							
3. Investment	1,071	1,221		1,007	1,160	559	1,350
4. Current	3,916	4,602		4,786	5,391	2,629	5,676
5. Deficit = (1 − 2)	− 384	− 538	− 806[2]	− 502	− 422	− 216	− 431

1. Excluding public debt operations.
2. Provisional.

Sources: Bank of Italy, Annual Report and Budget Forecasts.

TABLE 8*b*. CASH OPERATIONS OF THE TREASURY

Billion lire.

	FINANCIAL YEARS			JULY-NOVEMBER		
	1961-62	1962-63	1963-64	1962	1963	1964
1. BUDGET:						
a) " Current " section (Parte effettiva):						
Receipts	4,559	5,092	5,572	1,713	1,887	2,030
Expenditure	4,588	5,240	5,589	1,575	1,774	2,017
Current deficit/surplus	− 29	− 148	− 17	+ 138	+ 113	+ 13
b) Net capital movements	− 70	− 227	+ 91	− 63	− 60	− 18
c) Deficit or surplus of the budget	− 99	− 375	+ 74	+ 75	+ 53	− 5
2. OTHER TREASURY OPERATIONS:	+ 258	+ 35	− 766	+ 64	− 398	+ 72
of which:						
Treasury bonds	+ 124	+ 9	− 63	+ 150	− 157	+ 110
With Cassa Depositi e Prestiti	+ 23	+ 140	− 487	+ 45	− 50	− 4
3. TOTAL TREASURY CASH DEFICIT OR SURPLUS	+ 159	− 340	− 693	+ 139	− 345	+ 67

Sources: " Mondo Economico " and " 24 Ore ".

Probable expenditure, apart from recurring payments for general administration, etc., is usually very difficult to estimate from the budget figures. The main reason is that substantial amounts of unused allocations (principally for investment purposes) are regularly carried over from previous financial years. Thus, annual authorisations are not a good measure of annual expenditure and there are financial and legal possibilities for stepping-up expenditure above a given year's forecasts (though this does not mean necessarily that it is equally possible to raise actual expenditures, since there are technical and administrative time-lags).

b) ***Present trends and short-term prospects***

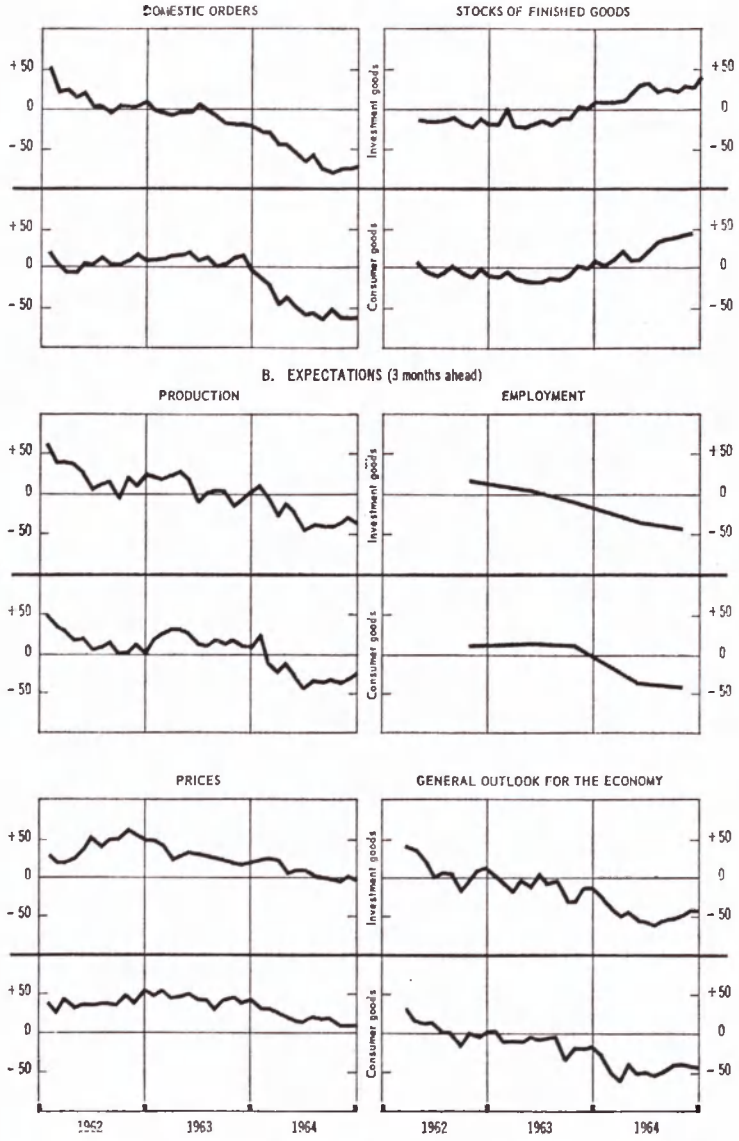
Available statistics do not yet permit a clear picture of the economic situation at the beginning of 1965 to be drawn. Such figures as are available indicate that by the end of the year industrial production and imports had stopped falling and had recovered somewhat, but that no significant picking-up had yet developed. Business surveys up to December give a similar impression. As often at this phase of the cycle, the movements of particular indicators are somewhat divergent: output has been picking up in some branches of industry (particularly iron and steel) but stagnating or falling in others; imports of investment goods have continued to decrease; business expectations concerning production levels have improved somewhat, but those on employment have been particularly low. A plateau has probably been reached, thanks partly to the recent changes in policy, but a general recovery of economic activity does not yet seem to have started.

The forces making for expansion appear rather weak at present and it is difficult to see whence strong impulses might come. Housebuilding will in all likelihood decline this year — perhaps considerably; and a significant increase in agricultural production, on top of last year's recovery, cannot be counted upon. In the expectation of an increase in productive investment and of a fairly quick rise of exports, the official forecasts for 1965 — prepared last September — were for an annual growth of GNP by up to 4 per cent; this implied an increase of industrial production by more than 10 per cent in the course of the year (December to December). More recent data suggest that these forecasts should be revised downwards.

With large unused capacities, depressed domestic markets and uncertainties about legislation which have affected the building sector, private investment is unlikely to start recovering very early. Indeed, some further decrease might take place in the next few months. According to a survey carried out by ISCO in October among manufacturing and mining firms, their investment plans for 1965 show widespread and important declines.

Diagram 2. **BUSINESS SURVEYS**[1]

A. JUDGEMENTS



1. The figures represent the difference between the percentages of positive and negative responses. Neutral responses (e.g. " normal ", " no change ") are ignored.

Source: ISCO and Mondo Economico.

The largest fall (by 53 per cent) is expected in the iron and steel sector, owing to the completion of some major projects last year. But the combined results of the survey for all other branches show a decline of investment this year by about 11 per cent at constant 1964 prices. This percentage is not necessarily representative of the total trend of industrial investment, but the declining tendency is confirmed by all the indirect evidence available. On the other hand, it is difficult to see how consumption demand could expand significantly before investment and employment have started growing again. Recent statistics of production, imports of consumers' goods and of retail sales point in general to a stagnant, if not decreasing, consumers' demand; and business surveys indicate declining domestic orders in the consumer goods industries.

Some short-term stimulus could reasonably be expected from stock variations. A certain running-down of inventories must have taken place in 1964[1]. For those sectors where the process has not yet been completed (at the production or distribution stage) additional declines of output could be forecast on this account; and changing price expectations may also exert a further downward pressure on the level of stocks. But in general the level of stocks should fairly soon correspond to current rates of production and sales. The mere fact of no further decreases in stocks — in other words the disappearance of a " negative demand " factor — would have a positive influence on production and employment. But this influence may be limited until final demand gains strength.

In present circumstances, short-term prospects for exports are of special importance for the development of global demand. The rapid growth of exports last year acted as a valuable prop to demand and output, but an impact on the same scale cannot reasonably be assumed for 1965. Exports reached peak levels in the fourth quarter (19 per cent up on a year earlier and 29 per cent higher than in the fourth quarter of 1962) but the latest figures suggest a slowing-down of their increase. The prospects remain fairly good, at least as long as some major foreign markets continue to expand strongly. But in certain important markets[2] demand for imports is unlikely to increase much. And whatever element of stock disposal there may have been in last year's exports (ability to make immediate deliveries if not special prices rebates) should by now be largely exhausted. A satisfactory rather than a vigorous rise of exports in the course of 1965 would seem probable on present evidence.

1. Reference has already been made to the lack of adequate statistics in this field.
2. The geographical distribution of Italian exports is given in the Statistical Annex.

c) *Effects of the measures to promote expansion*

The policy measures taken up to February 1965 may suffice to offset the weakening of some demand factors in the next few months, but are unlikely to promote an early and significant expansion[1]. It was, of course, entirely appropriate that public construction programmes and investment plans of state-owned concerns should have been speeded-up, because these correspond to both the short- and long-term needs of the economy. But the amounts involved in both cases are small if compared to the total rate of private construction and investment, which is falling[2]. It is certainly possible to take further steps in this direction, but there are limits to the degree of acceleration which is feasible in the short run. If expenditure programmes were stepped up beyond these limits, part of the additional expenditure would in fact be incurred much later — perhaps coinciding with another boom, instead of combatting a recession. Some of the measures taken in Italy to fight the 1958 recession seem to have had this result, an experience shared by a number of other Member countries. It should be noted, however, that the Italian authorities have taken, or are studying, various measures to reduce the technical and administrative time-lags in the execution of public investment projects.

Credit restraint served effectively to check booming production and excessive demand; the subsequent policy decision to provide ample credit for production and investment purposes has been a necessary, but not a sufficient, condition for economic revival. Total business demand for bank credit remains weak. Availability of finance can hardly be considered as a prime mover of expansion.

d) *The central policy issue*

The essential features of the present situation are weak demand and substantial unused capacity, both capital and labour, including trained industrial workers. Short-term prospects for the balance of payments give no ground for concern, and the level of foreign reserves is high. But wage and price increases, despite the recession, have not subsided sufficiently. The Italian authorities have now to assess how far a more determinedly expansionary policy — which would limit the waste of potential output, investment and social welfare — risks leading to a resurgence of strong pressures on costs and prices necessitating, sooner or later, renewed measures of restraint.

1. For the new measures just announced see Addendum on page 36.
2. In 1963, private gross fixed investment was 5,914 billion lire; the 700 billion invested by State-owned enterprises are included in this amount. Total Government investment (including all construction and public works, land reclamation, railway and telecommunication works, etc.) was 623 billion. In the same year, investment in dwellings amounted to 1,821 billion. The ten-year plan for State-supported house-building implies an annual rate of about 100 billion.

In the short term, a fairly rapid recovery of economic activity will probably not produce any significant demand pressure. Supply bottlenecks are unlikely to emerge at an early stage. The existing structural deficiency of domestic supply of " high-income food ", notably meat products, might rather quickly come into evidence again; but imports of such commodities could be stepped up. Moreover, the early stage of the recovery should produce very important gains in productivity, resulting from the more adequate use of existing equipment and employed labour and from renewed transfers of manpower from the less to the more productive sectors.

It may be asked whether new wage increases would risk offsetting such gains in productivity, thereby maintaining the pressure on costs and preventing the creation of sufficient total profits for an adequate level of new investment. The low tempo of demand last year was not without effect on wages and hourly earnings, though its main effect was the reduction of employment (in terms of total hours worked) in the advanced, high-wage sectors of the economy. The mere return to a normal rate of activity should not create additional strains in the labour market, because it will be possible in most cases to increase production considerably without recruiting new labour. Moreover, the more important wage contracts do not come up for renewal before October 1965. On the other hand, the influence of the existing sliding-scale arrangements for minimum wage rates will continue to be felt. It is recalled that the present system provides for quarterly automatic adjustments of minimum wages to a special cost-of-living index[1] which was not revised last year when the national cost-of-living index was brought up-to-date. On the whole, however, wage rises are likely to be somewhat more moderate for a certain time and unit costs are likely to decrease considerably as output starts picking-up again. More difficult problems connected with the trend of wages may well emerge after a new phase of expansion has got under way, and these are discussed in pages 30-31 below; but they are unlikely to be diminished by delaying the return to expansionary conditions.

With autonomous demand factors remaining weak, and a probability that some of them may weaken further, there are fairly strong arguments in favour of additional policy measures to stimulate demand. Any such stimulus will have to be largely provided through fiscal policy. No less than in other Member countries, legal obstacles, administrative complexities and other, more general factors make the timely and sufficiently extensive use of fiscal policy as an anti-cyclical weapon extremely difficult. But from recent announcements it is clear that the need for greater flexibility in fiscal policy is appreciated by the Italian authorities. In the recent past, it has not proved possible to use fiscal measures for restraining excess

1. It is based on working-class patterns of expenditure of several years ago. It probably over-estimates, for instance, the share of certain food products in present family budgets.

demand until the very late stage of the boom. And in the present phase, resort to fiscal policy to promote expansion has so far been very limited — mainly investment allowances and the abolition of the temporary tax on automobiles. Several tax rates are higher for 1965; and the new budget, while helping to shift resources to investment, is unlikely to promote significantly an adequate utilisation of unused resources. In present circumstances, one of the more effective measures for stimulating demand and output rather quickly would be moderate tax reductions — mainly on important consumption goods, but also on goods and services entering into industrial costs. The possible beneficial effects of such action on the price level, as well as on demand, should be borne in mind. Any such reductions should be made in a way which would ensure that they could be cancelled as soon as the state of demand warranted it in the future.

e) *The longer-term trend of wages*

Once re-expansion has got under way and a high rate of activity has been maintained for some time, some of the problems of the last boom are likely to re-emerge — first and foremost the problem of a satisfactory relationship between the rise in wages and the growth of productivity. The very substantial wage increases from late 1961 to early 1964 have been an important cause of internal and external disequilibria, which have been corrected at appreciable social cost — the sharp decline in the growth of the national product, the contraction of productive investment, and the considerable reduction of employment. The drastic re-distribution of income in favour of labour, with consequent excessive growth of private consumption at the expense of total real savings in the economy, took place as full employment was approached for the first time in the industrialised part of the country. The degree of excess probably contained an exceptional, once-for-all element — a brusque adjustment to a novel situation and one which went too far. But the fact remains that Italy will be faced in the future with a problem which she did not experience in the fifties but which is a constant preoccupation of other industrialised Member countries — the problem of reconciling a sufficiently high rate of growth and approximately full employment with a sufficient degree of financial stability. Just how acute this problem will be for Italy cannot be judged before re-expansion has taken place and the economy has regained a normal cruising speed. But the behaviour of wages in the recent phase of recession suggests that a substantial wage pressure may be a permanent feature of the economy from now on.

Unless other ways can be evolved for reducing such pressures and for maintaining the average rise of wages to within reasonable limits, restriction of total demand would have to be resorted to rather often in the future. And this would entail a slow growth of the national product compared

to the potentialities and the vast needs of the country. The Italian Government is at present finalising a draft five-year economic programme, which stipulates an average growth of GNP by 5 per cent per annum. One of the basic conditions for the achievement of this overall target is an orderly rise in incomes. Other Member countries have found it necessary to implement or prepare some type of incomes policy and the case for a similar approach in Italy is strong. The problems involved are extremely complex and difficult, but they should begin being tackled in a systematic way as soon as possible. The submission of the five-year programme is an appropriate occasion for the definition of general objectives and policies concerning all types of incomes. The subsequent translation of the general principles into practical measures will then constitute a permanent task for the authorities in the future.

f) *Balance of payments prospects*

Unless internal demand remains weak throughout 1965, the external surplus on current account is likely to begin to fall from its present level. Imports in the last months of 1964 were probably abnormally low and a moderate increase might be expected this year, even without a significant recovery in economic activity. Assuming an early recovery, the initial rise in imports might be considerable, as it would include some reconstitution of stocks. The growth of exports will probably slow down because of changed demand conditions in Italy's foreign markets taken as a whole. But even so, the current surplus is unlikely to disappear in 1965 — especially since seasonal factors are favourable in the second half of the year. The reconstituted foreign reserves should be amply sufficient to finance a possible temporary current deficit at a later stage.

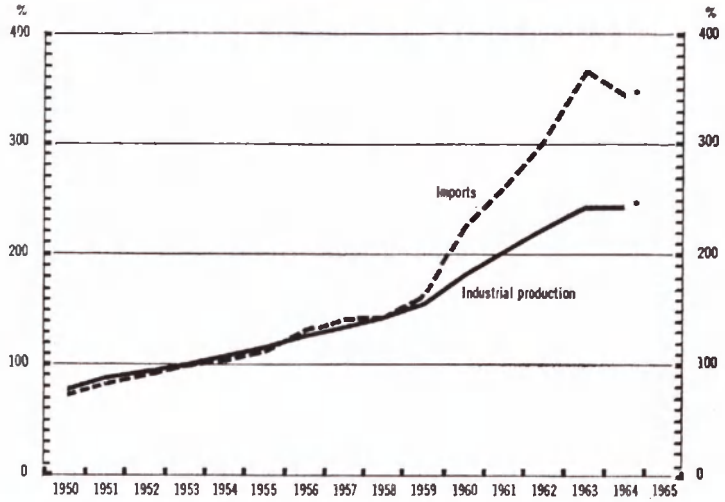
The more important problem is the longer-term underlying trend of the Italian balance of payments, after the violent fluctuations of the recent period. Diagram 3 and Table IX (*c*) on foreign trade in the Statistical Annex attempt to set the record in some perspective :

a) A very close correlation can be observed between the movements of imports and of industrial production (which is clearly in this context an indicator of overall demand). In the short term, fluctuations of imports reflect almost simultaneously, but in magnified form, similar fluctuations of industrial production. And over the longer term, the association between imports and industrial production is equally striking.

b) Nevertheless, the relation between imports and production seems to have undergone a sudden shift around 1960. The import content of national expenditure has clearly risen in the 1960-1964 period. This was partly due to imports of food products — reflecting the fact that adaptation of the pattern of domestic food supply to changing patterns of expenditure is notoriously difficult and slow. Some accidental factors have also

Diagram 3a. **INDUSTRIAL PRODUCTION AND VOLUME OF IMPORTS**

(Index: 1953 = 100)



* Provisional.

Diagram 3b. **INDUSTRIAL PRODUCTION AND VALUE OF IMPORTS**

COMPARISON OF FLUCTUATIONS AROUND THE 1960-1964 AVERAGE VALUES[1]

(Indices 1960-1964 = 100)

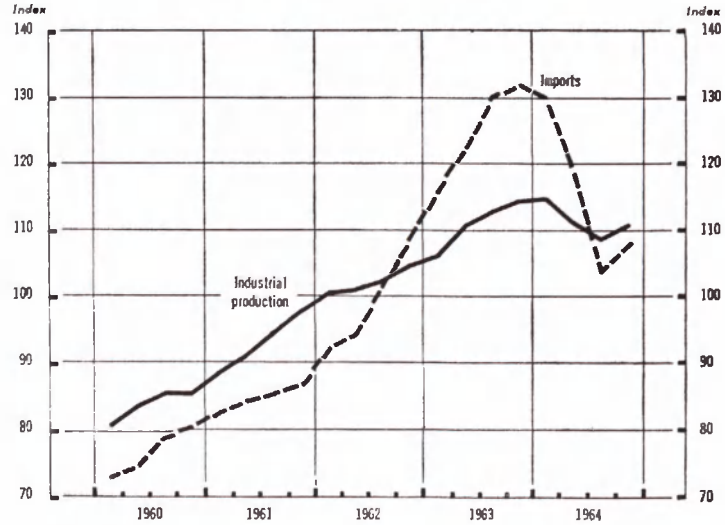
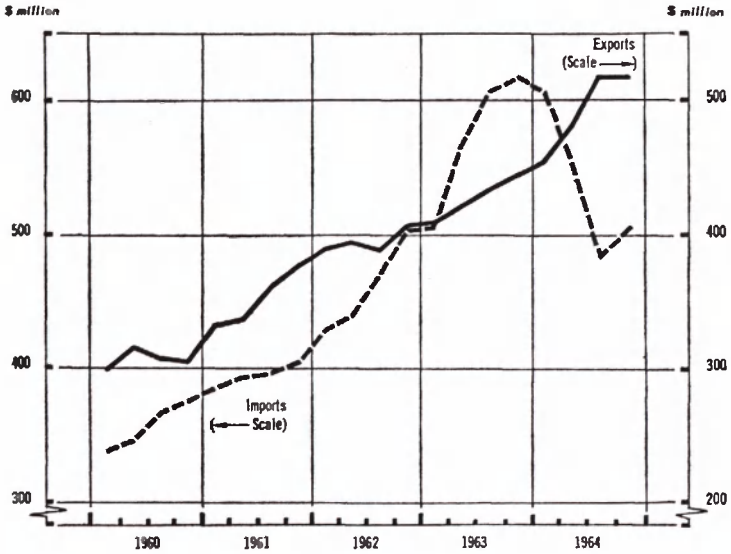


Diagram 3c. **FOREIGN TRADE — DEVIATION FROM EQUILIBRIUM[2]**



1. Seasonnally adjusted quarterly averages. By construction, the curves cross when the variables are at the 1960-64 average relationship.

2. Seasonnally adjusted quarterly averages. The diagram is intended only as a rough illustration of the trend of the current balance of payments; for exact figures see Table 7. Imports are reduced by 10 per cent for freigh and insurance, while the scale for exports is moved up by $ 100 millions, representing the approximate average monthly surplus on current invisibles and transfers.

Source: ISCO, ISTAT and OECD General Statistics.

played a role. Furthermore, a " once-for-all " element has been present in the phenomenal growth of imports between 1959 and 1963, namely the adaptation of the Italian economy to higher levels of income and consumption[1]. But there seems to be little doubt that the overall propensity to import will be distinctly higher in the coming period than in the 'fifties.

c) The trend of exports is more difficult to interpret. The rapid growth of Italian exports during the period of internal financial stability is well known. More surprising, perhaps, is the fact that over the last few years exports continued to grow at a substantial rate, even during

1. This was discussed in the last OECD survey on Italy.

periods of very strong pressure of internal demand and of considerable increases in industrial costs. For this period, it is difficult to establish any plausible relation between changes in costs and export performance. Moreover, the trend of domestic demand does not appear to have played a decisive role; demand trends in foreign markets seem to have been much more important. For instance, booming domestic demand during most of 1963 has clearly held up some exports (e.g. automobiles), but did not prevent a significant increase of non-food exports — by over 10 per cent; and in 1964 — unlike what happened in the 1958 recession — it was the conjunction of weak domestic demand and of strong demand in Italy's foreign markets which seems to explain the very rapid growth of exports.

If the higher import propensity noticed in the last five years continues, the rate of growth of exports will have to be substantial to maintain external balance. And if, in the last few years, the behaviour of exports appeared to remain largely unaffected by the rise in costs or the state of internal demand, it is unlikely that this phenomenon will be a lasting one. It was no doubt associated with the substantial profit margins built up during the 'fifties, but then seriously eroded; another element, no doubt, was the desire of Italian firms to maintain positions in foreign markets conquered after a long effort — and the desire would dwindle if exporting began to entail lastingly lower profit margins. There are limits in the tolerable divergencies in the movements of relative costs. The two basic conditions for ensuring that these limits are observed are : first, a sufficiently high rate of growth, bringing in its wake important increases in productivity; and, second, a not excessive increase of wages and consumers' expenditure. This is the double problem to be faced in the preparation and implementation of the five-year programme.

III. CONCLUSIONS

The action taken by the Italian authorities to curb inflationary developments and to redress the balance of payments, at the same time as market forces were working in the same direction, had quick and substantial results. The cost of the adjustment has been an appreciable decline of production and demand and an increase of unemployment — mainly in the form of short-time working. Despite a slight recovery of industrial production in recent months, the forces making for expansion appear rather weak at the beginning of 1965. Indeed, certain further deflationary influences might develop in the course of the year. Housebuilding activity will probably fall in the coming months and other private investment may decline further. Private consumption seems likely to remain weak, because of the poor prospects for non-farm employment (especially in construction) and of the probability of no increase in real agricultural incomes this year.

Furthermore, with changed demand trends in some foreign markets, last year's substantial growth of exports is unlikely to be repeated in 1965.

In order to promote economic recovery, the authorities have eased their credit policy considerably since last summer, accelerated the execution of public works and increased the investment programmes of State-owned enterprises. The measures of reflation taken so far (up to February 1965) have probably helped to arrest the downward trend and may offset some of the deflationary factors which are likely to be at work in the next few months. They seem, however, insufficient to bring about an early general recovery of economic activity. Additional and important stimuli to the economy seem, therefore, appropriate—inter alia through fiscal measures. The present considerable surplus of the balance of payments and the high level of foreign reserves allow sufficient margins for such a policy. And although price and wage rises have remained appreciable during the recession, it is unlikely that a period of re-expansion would immediately be accompanied by an increase in such pressures, given the present situation of the labour market and the substantial gains in productivity that would follow the more adequate utilisation of productive capacity. Indeed, the solution of the difficult problems connected with the long-term trend of wages would not be facilitated and might even become more difficult if the state of deficient demand were to be prolonged.

It is clearly in recognition of this state of affairs that the Government has taken, on the 15th March, a new series of expansionary measures, summarised in the Addendum below.

The experience of recent years shows that, as in certain other Member countries, short-term management of the economy requires a more flexible and extensive use of fiscal policy as an anti-cyclical weapon. It is highly desirable that the legal and administrative obstacles to such a use of fiscal policy should be removed as far as possible. The recent experience has also demonstrated the need to correct deficiencies and delays in current economic statistics which add to the difficulties of the task of short-term economic policy.

Looking beyond the immediate problems of re-expansion, recent experience suggests that the wage pressure risks being important in the longer run. Methods must be devised to keep the rise of incomes within tolerable limits. Otherwise it will be difficult to avoid frequent recourse to measures restricting demand, thus slowing down the rate of growth. And unless moderation in the course of money incomes can be ensured it will be impossible, for long, to safeguard the equilibrium of the balance of payments. The five-year economic programme, which the Government will present shortly to Parliament, should pay special attention to the problem of wages and, more generally, of the orderly development of incomes.

ADDENDUM

A wide range of anti-recession measures were taken by a decree-law published on March 15th, 1965. Its provisions are immediately applicable, but are subject to confirmation by Parliament within 60 days. The general lines of the new measures are as follows:

a) Local Government authorities and other entities will receive, under State guarantee, loans from the Consortium of Public Works and from the Cassa Depositi e Prestiti for carrying out various investment projects (public works, school and hospital building, state-supported housing schemes) and for implementing approved urbanisation plans. Finance is also provided for motor-way construction and development of ports. The Consortium of Public Works is authorised to issue bonds up to 250 billion lire bearing a State guarantee.

b) Out of these funds, some 50 billion lire will be spent on State-supported agricultural improvement projects, notably for increasing meat production.

c) Special — simplified and accelerated — procedures will be applied till the end of 1965 for the approval and control of public works projects.

d) It was decided to prolong to 25 years the exemption from the building tax for buildings completed between January 1st, 1964, and December 31st, 1967, except for luxury dwellings. Moreover, the tax on transfers of ownership of buildings and sites was reduced from 7.5 per cent to 4 per cent.

e) In order to facilitate purchases of equipment goods by small and medium enterprises, new credit arrangements are introduced providing for up to 5-year loans by specialised credit institutions and banking departments.

f) The payment of family allowances to industrial and agricultural workers receiving unemployment benefits was decided.

g) Part of employers' contributions to workers' pension funds will be taken over by the State budget from April 1965 to March 1966, at an estimated cost of about 130 billion lire (this is in addition to the similar measure mentioned in page 22 of this Survey).

STATISTICAL ANNEX

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Table I. NATIONAL PRODUCT AND EXPENDITURE

Billion Lire.

	AT CURRENT PRICES				AT 1958 PRICES			
	1960	1961	1962	1963	1960	1961	1962	1963
1. Private consumption	12,235	13,305	15,006	17,543	12,204	13,142	14,122	15,488
2. Public consumption	2,896	3,175	3,645	4,452	2,699	2,832	2,955	3,123
3. Gross fixed capital formation	4,441	5,099	5,846	6,537	4,408	4,948	5,381	5,690
4. Changes in stocks	305	295	300	235	319	307	298	221
5. Exports of goods and services	3,411	3,908	4,357	4,829	3,493	4,061	4,496	4,781
6. Total use of resources	23,288	25,782	29,154	33,596	23,123	25,290	27,252	29,303
7. Imports of goods and services	3,351	3,760	4,365	5,410	3,516	4,056	4,668	5,634
8. Gross national product at market prices	19,937	22,022	24,789	28,186	19,607	21,234	22,584	23,669
9. Gross domestic product at factor cost[1]	17,497	19,211	21,621	24,491	16,981	18,387	19,565	20,530
of which:								
10. Agriculture, forestry and fishing	2,993	3,397	3,668	3,797	2,754	3,143	3,166	3,129
11. Mining, manufacturing and public utilities	6,358	7,044	7,848	8,982	6,515	7,180	7,853	8,517
12. Construction	1,276	1,430	1,711	1,966	1,232	1,348	1,468	1,540
13. Other (transport, commerce, banking, public administration and miscellaneous services)	7,045	7,682	8,732	10,200	6,665	7,062	7,418	7,795

1. Adjusted to offset some duplications in estimates by sectors.

Sources: Italian submission to the OECD.

Table II. INDUSTRIAL PRODUCTION

Monthly averages: 1953 = 100.

	1961	1962	1963	1964	1963				1964			
					I	II	III	IV	I	II	III	IV
Unadjusted Index:												
1. Mining	198	199	180	201	184	185	190	202	202	187	204	218
2. Manufacturing	205	226	246	246	236	249	237	262	254	248	231	252
3. Food and drink	159	168	189	184	181	173	170	231	182	165	164	223
4. Textiles	126	136	140	133	141	141	131	145	140	132	123	132
5. Base metal industries	248	260	275	269	273	283	265	279	270	253	255	298
6. Engineering goods	189	196	213	188	212	226	193	222	213	199	156	185
7. Transport equipment	256	301	355	321	333	374	341	373	374	334	278	297
8. Chemicals	293	335	364	397	338	365	368	386	367	403	405	413
9. Miscellaneous petroleum products	256	304	347	409	332	329	352	376	403	382	410	439
10. Artificial textile products and cellulose	326	420	478	569	440	472	457	532	561	592	544	579
11. Electricity and gas	171	183	198	210	202	192	190	209	218	201	199	221
12. General Index	202	222	241	242	232	243	233	257	250	243	227	248
Seasonally adjusted Index:												
1. Investment goods	210	226	244	230	235	245	247	248	246	227	219	227
2. Consumption goods	174	190	209	207	199	208	213	215	215	209	202	200
3. Intermediate products	249	279	304	334	290	300	309	316	322	333	334	346
4. General Index	202	222	241	242	231	241	245	248	249	242	237	241

Sources: ISTAT and ISCO.

TABLE III. OTHER BUSINESS INDICATORS

Monthly averages.

	UNIT OR BASE	1961	1962	1963	1964	1963				1964			
						I	II	III	IV	I	II	III	IV
BUILDING ACTIVITY[1]:													
Residential:													
Buildings completed	thousand	25.9	30.0	33.8		17.4	17.6	17.7	24.6	18.1	19.2	19.7	24.1[4]
Building plans approved	—	37.9	49.2	58.1		31.1	34.7	31.7	32.0	27.6	25.9	21.1	20.8[4]
Non-residential:													
Buildings completed	thousand m³	2,367	2,937	2,898		1,169	968	903	1,174	1,394	1,501	1,550	1,795[4]
Building plans approved	—	5,918	6,812	7,800		3,591	3,737	2,973	2,987	2,698	2,617	1,952	2,266[4]
PUBLIC WORKS:													
Number of working days:	thousand	6,405	5,345	4,147	3,951[3]	3,334	4,625	4,530	4,092	3,090	4,153	4,379	4,296[4]
of which: Building[2]	—	2,171	1,713	1,222		1,231	1,265	1,310	1,171	1,101	1,310	1,378	1,450[5]
Value of public works begun	billion lire	63	58	55	66[3]	39	57	64	60	45	67	77	77[4]
of which: Building[2]	—	22	19	17	20[3]	15	17	14	14	14	20	23	25[4]
CONSUMPTION:													
Retail sales (in department stores)	1955 = 100	194	210	241	241[3]	190	234	228	310	219	244	233	304[4]
Private cars bought	thousand	41.0	52.8	77.3	69.1	71.9	86.4	80.4	70.6	93.0	70.7	59.4	53.3

1. Yearly figures cover the whole country, while communities below 20,000 inhabitants are not included in the quarterly figures.
2. Construction of dwellings and public buildings.
3. Average of January-November.
4. Average of October-November.
5. October.

Source: ISTAT.

TABLE IV. EMPLOYMENT

In thousands.

	AVERAGE FIGURES[1]			OCTOBER		
	1962	1963	1964	1962	1963	1964
1. LABOUR FORCE[2]	20,561	20,134	20,130	20,629	20,194	20,032
2. EMPLOYMENT:						
Agriculture	5,810	5,295	4,967	6,026	5,424	5,012
Industry	7,810	7,986	7,996	7,879	8,092	7,909
Other	6,330	6,349	6,617	6,224	6,280	6,580
Total	19,950	19,630	19,580	20,129	19,796	19,501
3. WAGE AND SALARY EARNERS	12,450	12,702	12,618	12,564	12,876	12,581
of which:						
In industry:						
Male	5,023	5,222	5,263	5,077	5,298	5,168
Female	1,426	1,445	1,348	1,286	1,249	1,140
Total	6,449	6,667	6,611	6,363	6,547	6,308
4. PARTIALLY EMPLOYED[3]	..	348	397	..	363	451
5. UNEMPLOYED	611	504	582	500	398	531
6. UNEMPLOYED REGISTERED IN LABOUR EXCHANGES (Monthly averages)[4]	1,162	1,069	1,059	1,074	1,005	1,101
7. EMIGRATION (net)	181	125	..	—	—	—

1. Average of four sample surveys.
2. Excluding workers abroad.
3. Persons who worked less than 33 hours in the week previous to the sample survey.
4. Categories I and II.

Sources: ISTAT and Statistiche del Lavoro e de l'Emigrazione (Ministry of Labour).

Table V. PRICE INDICES

Averages.

	1961	1962	1963	1964	1963				1964			
					I	II	III	IV	I	II	III	IV
Wholesale prices (1953 = 100):												
Agricultural products	103.8	112.8	119.8	119.7	120.4	119.2	117.8	121.7	119.8	118.0	118.5	122.6
Non-agricultural products	97.7	99.2	104.0	108.5	102.2	103.3	104.2	106.4	108.2	108.3	108.2	109.1
General index	99.0	102.0	107.3	110.9	106.0	106.7	107.0	109.6	110.7	110.4	110.4	112.0
Consumers' prices (1953 = 100):												
Food products	113.8	118.8	128.6	135.0	126.8	128.3	128.0	131.3	132.4	133.4	136.2	138.5
Non-food products	103.5	108.8	115.4	121.7	112.7	114.9	116.3	117.7	119.0	121.2	122.7	123.7
Services	146.3	153.5	164.6	177.2	161.2	163.0	165.1	168.9	172.7	176.4	178.7	181.0
General index	117.8	123.3	132.5	140.4	130.1	131.9	132.5	135.4	137.5	139.1	141.4	143.3
Cost of living[1] (1961 = 100):												
Food			113.2	119.2	111.1	112.9	113.5	115.5	116.3	117.9	120.5	122.1
Clothing			110.5	116.8	108.3	109.9	110.8	113.1	115.0	116.6	117.3	118.5
Housing			119.6	132.0	115.6	119.0	120.8	122.9	129.8	131.5	132.9	134.0
General index	100.0	(105.8)	112.4	119.8	110.0	111.9	112.1	114.3	117.2	118.8	120.7	122.3

1. From January 1964, new cost-of-living index, 1961 = 100.

Source: ISTAT.

TABLE VI. INDICES OF WAGES AND SALARIES (*1938 = 1*)

	EXCLUDING FAMILY ALLOWANCES					INCLUDING FAMILY ALLOWANCES				
	ANNUAL AVERAGES			DEC. 1963	DEC. 1964	ANNUAL AVERAGES			DEC. 1963	DEC. 1964
	1962	1963	1964			1962	1963	1964		
A. MINIMUM CONTRACTUAL WAGE RATES:										
1. Agriculture	121.73	147.70	168.93	157.97	176.41	142.72	158.24	173.28	164.86	181.90
2. Industry	99.62	113.88	133.73	119.97	140.73	109.50	121.23	138.98	126.83	145.34
of which:										
Manufacturing	101.00	115.87	132.11	120.45	139.52	105.10	117.04	129.46	120.67	135.48
Construction	98.08	110.12	147.12	121.49	153.42	119.59	130.24	163.84	140.34	171.25
3. Transport	88.49	95.68	112.80	98.31	116.71	108.99	115.39	131.84	117.74	137.81
4. Commerce	91.76	103.61	116.48	107.08	122.51	108.88	119.25	131.10	122.36	137.58
B. MINIMUM CONTRACTUAL SALARIES:										
1. Industry	76.91	91.73	104.69	96.22	109.50	82.98	94.68	106.12	98.46	111.22
2. Commerce	84.35	97.88	111.72	101.51	118.48	91.96	103.18	114.58	106.26	120.75
3. Public administration	85.85	112.24	117.66	115.33	119.99	87.24	109.93	114.36	112.53	116.20

Source: ISTAT.

Table VII. MONEY AND CREDIT

Billion lire, end of period.

	1961	1962	1963				1964			
			I	II	III	IV	I	II	III	IV
I. Money:										
1. Monetary circulation[1]	2,746	3,135	3,036	3,190	3,264	3,576	3,355	3,380	3,442	3,843
2. Sight deposits[2]	5,892	7,040	7,036	7,194	7,449	7,881	7,559	7,712	7,788	8,112[5]
3. Money supply[1]	8,638	10,175	10,072	10,384	10,713	11,458	10,914	11,092	11,230	11,562[5]
4. Savings deposits	6,356	7,490	7,702	7,821	8,028	8,503	8,564	8,574	8,743	8,879
5. Post Office savings	2,309	2,611	2,684	2,722	2,779	2,950	3,013	3,037	3,076	3,251
II. Central bank:										
1. Credit to Treasury	729	665	877	804	926	1,403	1,339	1,451	1,501	1,803
2. Credit to banking sector[3]	819	1,077	1,007	1,255	1,170	1,510	1,641	1,670	1,337	1,317
III. Other banks:										
1. Total bank deposits	11,194	14,165	14,419	14,679	15,134	15,988	15,785	15,928	16,205	16,658[5]
2. Credit	8,539	10,542	10,868	11,481	11,940	12,756	12,572	12,526	12,396	12,410[5]
3. Government securities	2,231	2,206	2,317	2,302	2,331	2,262	2,337	2,365	2,449	2,462[5]
4. Shares and debentures	1,102	1,501	1,559	1,612	1,704	1,812	1,830	1,852	1,896	1,972[5]
IV. Special institutions for medium- and long-term credit:										
1. Credit to private sector[4]	4,271	5,400	5,673	5,914	6,156	6,364	6,636	6,806	7,134	
V. Capital market (per cent yields: monthly averages):										
1. Government securities	4.93	4.88	4.92	5.19	5.44	5.62	5.86	6.05	5.72	5.62
2. Other securities	5.52	5.95	5.87	5.98	6.21	6.42	6.92	7.62	6.87	6.90
3. Shares	2.65	3.45	4.00	3.61	4.01	3.92	4.24	4.64	4.38	4.76
Annual capital market issues:										
1. Shares	417	608				267			411[6]	
2. Other securities	749	972				1,143			725[6]	
3. Government securities	135	62				− 71			92[6]	
4. Total capital market issues	1,301	1,642				1,340			1,228[6]	

1. Excluding cash in the banks.
2. Including cashiers' cheques.
3. Including credits to special credit institutions.
4. From December 1963, new series. The comparable old figure for December 1963 was 6,414.
5. End of November.
6. First three quarters.

Source: Bank of Italy.

TABLE VIII. BALANCE OF PAYMENTS

Million dollars.

	1960	1961	1962	1963	1964[1]
A. CURRENT ITEMS:					
1. Imports (f.o.b.)	4,204	4,659	5,459	6,776	6,500
2. Exports	3,570	4,103	4,581	4,968	5,920
3. Trade balance	− 634	− 556	− 878	−1,808	− 580
4. Foreign travel	548	647	724	749	
5. Workers' remittances	151	190	260	299	
6. Other services	32	− 45	− 106	− 186	
7. Balance on services	731	792	878	862	940
8. BALANCE ON GOODS AND SERVICES:	97	236	0	− 946	360
9. Private transfers	255	316	347	321	300
10. Public transfers	− 35	− 43	− 53	− 32	
11. CURRENT BALANCE	317	509	294	− 657	660
B. CAPITAL MOVEMENTS, NON-MONETARY SECTOR:					
12. Private	304	500	541	915	
13. Public	47	32	9	− 4	
14. Total	351	532	550	911	
C. ERRORS AND OMISSIONS:					
15. Repatriation of Italian banknotes	− 185	− 330	− 766	−1,470	
16. Other	− 41	− 133	− 28	− 36	
17. Total	− 226	− 463	− 794	−1,506	
18. Sub-total (B + C)	125	69	− 244	− 595	120
D. MONETARY CHANGES:					
19. Changes in official reserves (− = increase)	− 127	− 340	− 22	434	− 388
20. IMF position	—	− 175	− 40	− 23	80
21. Other official	− 47	− 102	− 498	191	− 30
22. Foreign position of commercial banks	− 268	40	430	650	− 442
23. Total	− 442	− 577	− 50	1,252	− 780

1. Provisional.

Source: Bank of Italy.

TABLE IX*a*. **COMMODITY BREAKDOWN OF FOREIGN TRADE**

Billion lire.

		1961	1962	1963	1964	% CHANGE 1964 OVER 1963
	i) IMPORTS					
1.	Food, drink and tobacco	578,8	636.7	967.6	932.6	− 3.7
2.	Crude oil	315.0	364.0	414.3	489.1	+ 18.0
3.	Metals, ores and scrap	538.2	609.6	661.5	548.2	− 17.2
4.	Textile materials and products	316.4	353.4	398.3	414.1	+ 4.0
5.	Wood and products	143.2	157.4	189.9	163.2	− 14.0
6.	Automobiles and spares	62.5	113.6	201.6	125.5	− 38.8
7.	Other engineering products	546.2	729.1	908.9	848.5	− 6.7
8.	Chemical products	288.0	314.7	358.6	362.7	− 1.1
9.	Paper and cardboard	69.9	78.6	100.0	105.5	+ 5.5
10.	Other imports	405.8	434.7	542.9	530.1	− 2.4
11.	TOTAL IMPORTS	3,264.0	3,791.8	4,743.6	4,519.5	− 4.8
	ii) EXPORTS					
1.	Food, drink and tobacco	409.1	465.2	448.3	444.3	− 0.9
2.	Metals, ores and scrap	131.4	128.7	132.0	214.7	+ 62.6
3.	Textile materials and products	396.6	428.5	479.3	551.0	+ 15.0
4.	Clothing and shoes	155.8	177.8	195.5	224.5	+ 14.8
5.	Automobiles and spares	174.6	234.2	233.6	275.3	+ 17.8
6.	Other means of transport	141.4	116.3	130.6	166.9	+ 27.7
7.	Other engineering products	566.2	645.8	747.7	865.3	+ 15.7
8.	Chemical products	361.6	401.7	430.0	510.3	+ 18.6
9.	Other exports	280.6	300.5	356.5	470.3	+ 31.9
10.	TOTAL EXPORTS	2,617.3	2,915.5	3,153.5	3,722.6	+ 17.8

Source: ISTAT.

TABLE IX*b*. **GEOGRAPHICAL DISTRIBUTION OF FOREIGN TRADE**

	PERCENTAGE SHARES			RATES OF CHANGE (%)		
	1962	1963	1964	1962	1963	1964
Imports from:						
1. France	8.8	9.7	9.9	+ 12.5	+ 36.9	− 2.9
2. Germany (F.R.)	16.9	16.9	16.3	+ 26.4	+ 24.4	− 8.2
3. Benelux	5.5	6.2	6.5	+ 25.6	+ 41.6	+ 1.2
Total EEC	31.2	32.8	32.7	+ 22.4	+ 30.9	− 4.9
4. United Kingdom	6.3	6.1	5.5	+ 33.3	+ 20.5	− 14.9
5. Switzerland	2.7	2.6	2.5	+ 11.6	+ 15.2	− 5.3
6. Other European OECD countries	9.2	8.9	8.2	+ 11.9	+ 19.1	− 12.2
Total European OECD countries	49.4	50.4	48.9	+ 21.4	+ 26.8	− 7.4
7. USA and Canada	15.8	14.7	14.5	+ 1.2	+ 16.0	− 6.3
8. Other countries	34.8	34.9	36.6	+ 15.3	+ 22.5	+ 4.1
TOTAL IMPORTS	100.0	100.0	100.0	+ 16.1	+ 24.3	− 4.6
Exports to:						
1. France	9.2	10.4	10.9	+ 33.3	+ 21.7	+ 23.6
2. Germany (FR)	19.3	17.9	19.0	+ 19.0	+ 0.4	+ 24.8
3. Benelux	6.3	7.2	8.1	+ 15.0	+ 4.0	+ 31.5
Total EEC	34.8	35.5	38.0	+ 23.6	+ 10.3	+ 25.8
4. United Kingdom	6.0	5.4	5.6	− 4.2	− 3.3	+ 22.5
5. Switzerland	7.1	6.7	6.0	+ 14.8	+ 2.7	+ 5.7
6. Other European OECD countries	11.0	10.7	10.8	+ 7.6	+ 5.1	+ 18.7
Total European OECD countries	58.9	58.3	60.5	+ 16.5	+ 6.9	+ 21.9
7. USA and Canada	10.5	10.4	9.5	+ 13.8	+ 7.5	+ 7.5
8. Other countries	30.6	31.3	30.0	+ 2.3	+ 9.2	+ 15.5
TOTAL EXPORTS	100.0	100.0	100.0	+ 11.5	+ 8.2	+ 17.5

Source: OECD Foreign Trade Statistics.

Table IXc. FOREIGN TRADE — ECONOMIC CLASSIFICATION

Billion lire at constant 1954 prices.

	AGRICULTURAL PRODUCTS AND FOOD			OTHER PRODUCTS									TOTAL DEFICIT
				CONSUMER GOODS			INVESTMENT GOODS			INTERMEDIATE GOODS			
	IMPORTS	EXPORTS	DIFFERENCE	IMPORTS	EXPORTS	DIFFERENCE	IMPORTS	EXPORTS	DIFFERENCE	IMPORTS	EXPORTS	DIFFERENCE	
1954	229	251	22	423	391	− 32	490	221	− 269	383	160	− 223	− 502
1955	302	262	− 40	429	488	59	527	290	− 237	418	158	− 260	− 478
1956	354	314	− 40	525	542	17	572	376	− 196	448	175	− 273	− 492
1957	369	385	16	587	640	53	605	478	− 127	484	175	− 309	− 367
1958	398	317	− 81	535	631	96	575	543	− 32	501	217	− 284	− 301
1959	454	368	− 86	624	796	172	629	655	26	525	249	− 278	− 166
1960	638	356	− 282	796	980	184	955	813	− 142	673	279	− 394	− 631
1961	710	391	− 319	794	1,135	341	1,143	935	− 208	742	322	− 420	− 606
1962	733	406	− 327	968	1,330	362	1,426	904	− 522	870	365	− 505	− 992
1963	980	378	− 602	1,233	1,466	233	1,741	987	− 754	1,004	397	− 607	− 1,730

Source: G. Miconi " Foreign Trade in the Last 10 Years (1954-63) " in Banco di Roma Review of the Economic Conditions in Italy, March 1964.

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